

pull out. Instead, regret-averse investors may cling to positions that they ought to sell, pained by the prospect that a stock, once unloaded, might soar even higher.

Technical Description

An extensive body of literature in experimental psychology suggests that regret does influence decision making under conditions of uncertainty. Regret causes people to challenge past decisions and to question their beliefs. People who are regret averse try to avoid distress arising from two types of mistakes: (1) errors of commission and (2) errors of omission. Errors of *commission* occur when we take misguided *actions*. Errors of *omission* arise from misguided *inaction*, that is, opportunities overlooked or foregone.

Regret is different from disappointment, because the former implies that the sufferer had some sense of agency in achieving the negative outcome. Also, feelings of regret are more intense when unfavorable outcomes emerge from errors of commission rather than errors of omission. The Implications for Investors section uses an example to examine more concretely the distinction between errors of commission and errors of omission in the context of regret aversion bias.

Regret is most palpable and takes the greatest toll on decision making when the outcomes of forgone alternatives are highly “visible” or “accessible.” By the same token, regret becomes a less influential factor when consequences of mistakes are less discernible. Some researchers have proposed theories of choice under uncertainty that incorporate regret bias as a partial explanation for observed violations of traditional expected utility theory. Regret theory assumes that agents are rational but base their decisions not only on expected payoffs but also on expected regret. The Allais paradox (Chapter 2), along with other human tendencies that seem to interfere with utility optimization, make sense from the perspective of regret theory. Regret theory bears some similarities to prospect theory (discussed earlier), and many of its predictions are consistent with the empirical observations of human behavior that constitute the building blocks of prospect theory.

PRACTICAL APPLICATION

The following case study illustrates both aspects of regret bias: *error of commission* and *error of omission*. The case shows a regret-averse investor under two sets of circumstances: (1) an investor experienced a loss and regrets his decision to invest; and (2) an investor missed an opportunity to invest in something that later appreciated in value and regrets his failure to reap profits.